

Canada's retaliatory tariffs will have minimal influence on voters

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Retaliatory tariffs in response to US trade policy are not good news for Republican incumbents also facing a negative macro-political environment. But the tariffs are unlikely in themselves to swing the picture in the Senate toward Democrats: The vast size of the US economy means that trade with Canada is a relative drop in the bucket; and with only two months remaining until the elections, the tariffs will probably take too long to affect the economy to matter.

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This isn’t to say they won’t matter anywhere, however. Maine and Alaska are among the most exposed to Canadian tariffs. These are both races in which Republican incumbents already face tough re-election fights, and where new tariffs will be an additional headwind for those incumbents to navigate.

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Trump’s own thinking on a climbdown in stalemated US-Canada negotiations likely will not be swayed by the new tariffs, given Trump’s disinterest in preserving Republican congressional majorities. The tariffs may, though, accentuate the ongoing rift between Senate Republicans and the White House; senators up for re-election will likely seek to keep their distance from the White House on the matter, which they, by and large, did not welcome and have come to see as an albatross around Republicans’ necks.

Top-issue polling remains favorable to Democrats. Eurasia Group's triangulation approach to election forecasting is based on three distinct pieces of data: approval ratings, head-to-head polling, and top-issue polling. In this midterm cycle, most analysis has focused on the first two, which are negative for Republicans. What is less often remarked is that, on the issues, Republicans are also in negative territory.

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Across a range of surveys, voters report that the economy—and inflation and high prices in particular—is their top issue in the midterms. Inflation was the top issue for 26% of voters, a plurality, in a recent Economist/YouGov poll, a figure remarkably consistent across demographic and partisan lines.

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This is another piece of bad news for Republicans: In Silver Bulletin's tracker, Trump's net approval rating on inflation is -44%, down almost fifteen points from the start of the year. His net approval on the economy writ large is better but still firmly negative, at -28%.

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Midterms are less about the issues than are presidential elections, since midterms function more as referendums on the incumbent party, rather than as a choice between distinct policy platforms. Insofar as this is an election about issues, though, Republicans are underwater—a key element in our view that Democrats are the 85% favorites to flip the House and are face nearly coin-flip odds (45%) in the Senate.

Prediction markets amplify outsized influence of polling on races. 2026 is the first major US election cycle in which virtually every race, from high-profile Senate races down to obscure congressional primaries, is quantified on prediction markets, for the world to see. That will change the nature of political polling, which, more than ever, can be used to shape races.

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In a world where political observers—especially the news media, much of which has licensed Kalshi or Polymarket odds for their own use—treat candidates' prediction-market odds as pronouncements on the viability of individual candidates, there are strong incentives for campaigns to try to shape prediction markets, and thereby the narrative on the race.

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If polls are the primary input into prediction markets, and if the link between polls and markets is direct and immediate, campaigns and affiliated groups may be able to shift markets—and thereby the narrative on the race—through the selective release of favorable internal polling. This is especially the case in early-stage primaries with multicandidate fields; these races—such as Democratic primaries in Iowa, Michigan, and Wisconsin and likely including the 2028 presidential primaries as well—suffer from an observer effect, whereby the polling itself changes the nature of the race. That's always been the case to some extent, but prediction markets accentuate it.

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This isn't to say that polling is becoming more unreliable; primary polling has always been difficult at best, and the 2022 midterm cycle was a good one for pollsters. But when it comes to predicting the outcome of races, it's an evergreen reminder that individual polls are never gospel, and that one's time is better spent on polling averages, especially quality-adjusted ones like Silver Bulletin's.

Ratcliffe's visit to Moscow likely more than just a warning. On 25 August, John Ratcliffe, Director of the Central Intelligence Agency, visited Moscow to warn Russian officials to not launch incursions into NATO territory. The visit echoes Director William Burns's visit to Moscow in November 2021 when he warned Putin not to attack Ukraine.

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Leading up to Ratcliffe's visit, Russia has shown a growing risk tolerance. Through late July and early August of this year, Russian drone and jet incursions into NATO territory, including an explosive-laden drone at Leipzig/Halle Airport, have stepped up dramatically – NATO jets scrambled for 250% more sorties in July 2026 than the year prior.

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The Trump administration took great lengths to control the optics of Ratcliffe's trip, including consulting with the Ukrainian military to halt strikes on Moscow and cities in northern Russia during the visit. While the secrecy surrounding the visit is eye-catching, these measures are necessities of operational security and do not necessarily reflect the true nature, tone, or scope of Ratcliffe's visit.

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President Trump's choice to send Ratcliffe was intentional, signaling that Trump desired the US message to land with authority. The visit likely serves as more than just a warning to the Russian side, as it also opens a channel of reliable, credible communication for future use. The outcome of the visit is unlikely to deter Russia, positioning further aerial incursions into NATO's eastern flank as a watchpoint for future developments.

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For more, please see forthcoming quicktake.

Quote of the Day

"My sense is that there's pretty wide recognition of the fiscal situation — that the fiscal trajectory is unsustainable. And the interest in Social Security seems like the first kind of translation ... into sort of realistic policy alternatives." - Congressional Budget Office director Phillip Swagel speaking about expected cuts to Social Security in 2032. While some politicians have promised to use deficit funding to prevent any cuts, others have realized that a more creative—and potentially controversial—solution may be necessary to avoid worsening an already unsustainable public debt problem.

On the Radar

27 July – 28 August: House on recess

10 August – 14 September: Senate on recess

1 September: Massachusetts primaries

8 September: Canadian retaliatory tariffs go into effect

9-10 September: GOP midterms convention

18-28 September: High-Level Week at UN General Assembly

24 September: Trump-Xi summit

30 September: Government funding runs out

3 November: National midterm elections

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